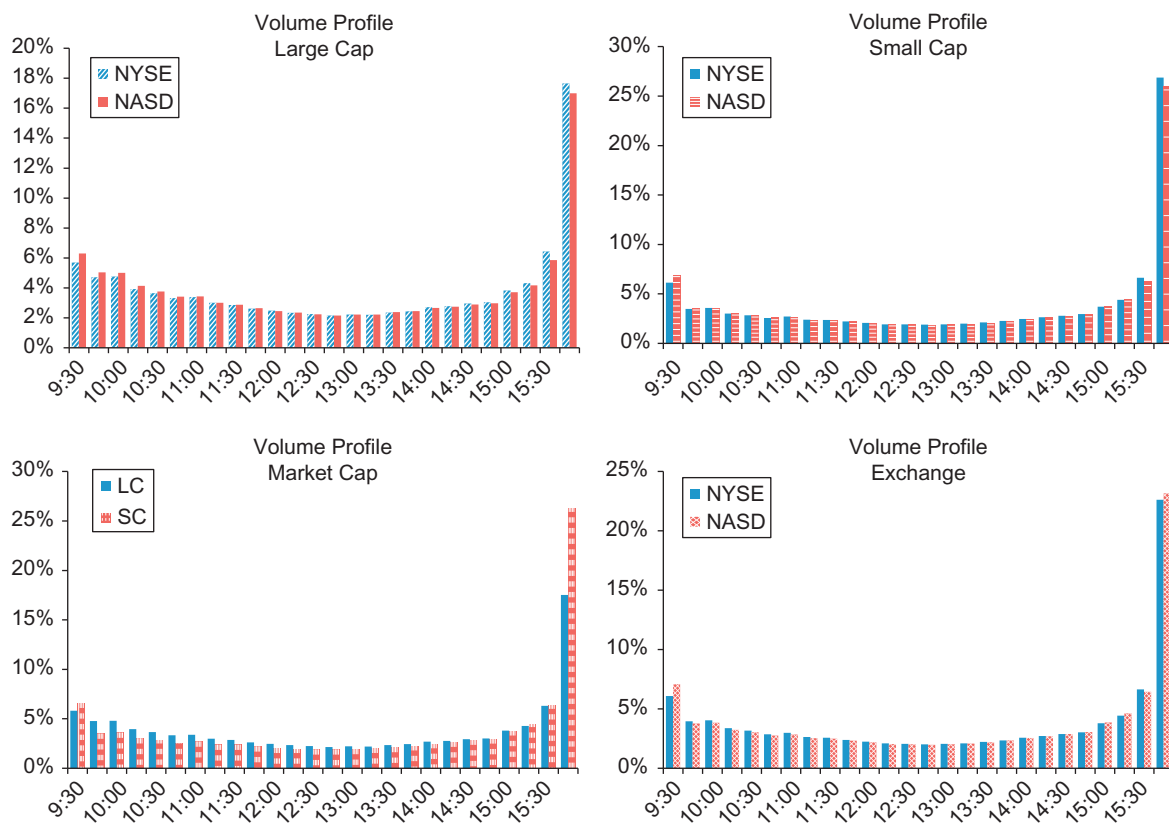




■ **Figure 2.5** Intraday Volume Profile.

- Higher at the open due to a more difficult price discovery process and the higher levels persist for a longer period of time than historically.
- Does not increase into the close to the same extent that it did historically.
- Slightly lower volatility at NYSE listed stocks than NASDAQ listed stocks.
- Small cap intraday volatility is much higher than large cap volatility as expected.

As mentioned, the old specialist and market maker system provided valuable price discovery. Today's market algorithms, however, are left to determine the fair value price by trading a couple of hundred shares at a time. It is not uncommon to look at the tape and see a price change of \$0.50/share at the open with only a few hundred shares trading in the interval. Leaving algorithms to determine fair market prices by trading